

interest helped those countries grow at a fast pace. Indeed, that broad understanding is central to Subbiah's thinking, having benefited from studying in two different parts of the world—he earned a civil engineering degree from the prestigious IIT Madras before heading to the University of Michigan in the US for an MBA.

Vallabh Bhanshali, Co-founder & Chairman, Enam Group, says Subbiah brings a certain intensity and focus to the table. He feels a lot of that has to do with upbringing, especially by virtue of the legacy of his father, former Executive Chairman of the group. “He was a tall corporate business leader and some of the governing principles have been initiated by him. He brought deep insights into governance.” Bhanshali, who has known the family well, describes Subbiah as “extremely value-conscious” and says his early stint at consulting major McKinsey honed his skills.

One of Subbiah's biggest achievements was buying electrical equipment maker CG Power and Industrial Solutions and turning it around. The company was involved in a ₹2,435 bank fraud case that came to light in 2019. It was acquired in 2020 for ₹700 crore.

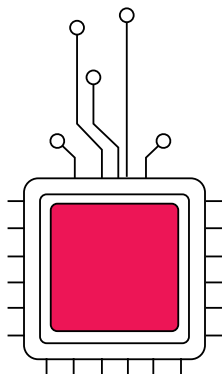
Sougata Ray, Thomas Schmidheiny Chair & Professor of Strategy & Entrepreneurship Practice, Indian School of Business, says l'affaire CG Power is one of the most remarkable examples of corporate revivals in recent Indian business history. “When TI acquired it in 2020, the company carried more than ₹2,100 crore debt, had been through a serious fraud case and lost the confidence of almost everyone connected with it. It was a wreck,” he says.

Subbiah brought in a new management. “By 2022, it was debt-free, and today has genuine scale of ambitions extending into semiconductors. The lesson Vellayan taught us is that turnarounds are really about restoring trust,” adds Ray.

Bhanshali says Subbiah displayed

SOUTHERN COMFORT

- 01 **Subbiah is known for running the three companies under his charge with quiet efficiency**
- 02 **Subbiah's big achievements include the turnaround of CG Power, which was bought in 2020 when it was in deep trouble**
- 03 **Realising that Tube Investments was stuck in a cyclical sector, he decided to reallocate capital to new areas**
- 04 **With that same strategy, he has decided to make a foray into the semiconductor space**



his array of skills during the CG Power takeover. “It was a risky decision and his top team handled issues related to legal and accounting. He was completely in charge of the business side, hired the right people and asked all the relevant questions,” he points out. Subbiah, in his view, has a commonsensical approach to any problem. “It is all about math that brings in the value. He wears his brilliance lightly and those who mean business love him.”

For Ray, the bigger challenge is transforming TI's identity. “It involves convincing everyone—employees, investors, customers, partners—to let go of a story they are comfortable with and believe in a new one. A business once defined by bicycles and steel tubes is now a credible platform for advanced engineering and manufacturing,” he says.

TI has set up a subsidiary, TI Clean Mobility, which runs the brand Montra Electric, and has launched three-wheelers (last-mile mobility), tractors, SCVs and HCVs. “TI is looking at new-age sectors. Here again, Vellayan has done his math and will not go by popular perception,” says Bhanshali.

Y. Rama Rao, Senior MD & CEO of Chennai-based financial services firm Spark Capital, says Subbiah is a new-age entrepreneur but still embodies the values of the group. Rao's company first took note of him in 2012, when Cholamandalam was going through a rough patch. “Chennai is home to some large names in financial services but Vellayan was different. He spoke a different language, understood technology and was very ambitious. In many ways, he was a breath of fresh air.”

Perhaps there is no better metric to assess Subbiah's stewardship of Cholamandalam than the fact that it now employs 65,000 people, up from 1,500 when he took charge. “Cholamandalam, which has emerged as one of India's most respected NBFCs, does not get as much attention as CG Power,” maintains Roy. Even when NBFCs stumbled on asset quality or got caught by liquid-